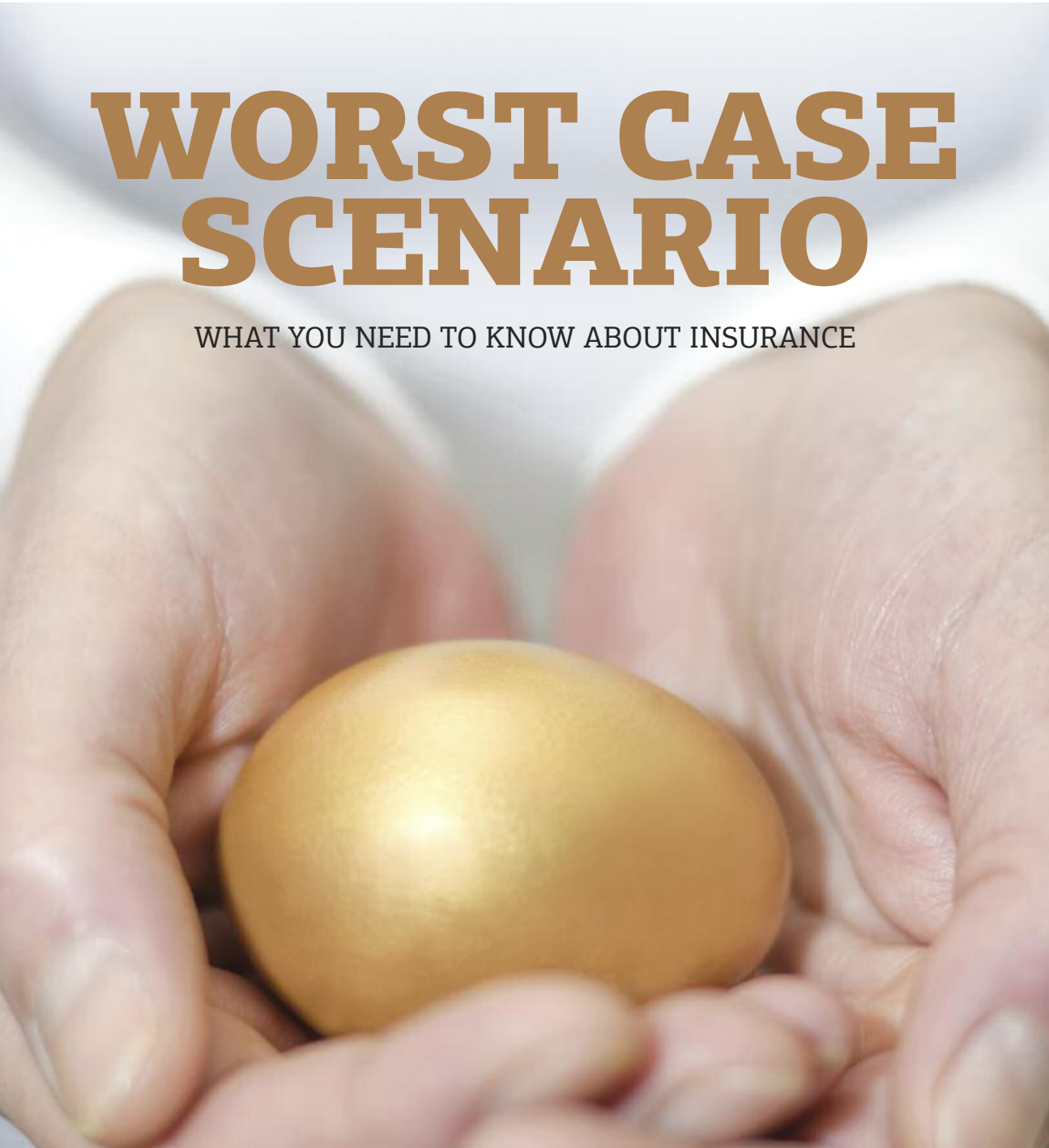




WORST CASE SCENARIO

WHAT YOU NEED TO KNOW ABOUT INSURANCE

Life, disability, home, auto, liability—insurance decisions can be staggering. This article simplifies the process, explains basic insurance terms and gives tips on how to get the most out of your insurance policies.

Life Insurance

Every person needs to ask himself the question: “Got life?” Since we are not told the number of our days, life insurance guarantees that there will be adequate income in

case of a death, *chas v’sholom*, in the family. When you are young and healthy, it may seem preposterous to be worrying about something so remote. However, you never know what the future will hold, and the best rates are locked in when you’re young and healthy. It often happens that people are desperate to buy life insurance when they receive devastating news from the doctor. By then, however, it is too late.

Life insurance protects you and your family, guarantees income in the home, and can be used to pay for the mortgage or outstanding debts.

BENEFITS OF LIFE INSURANCE AS A SAVINGS ACCOUNT

Many people want to put away money for their children, weddings or old age. A strong benefit of putting money in a life insurance plan is that the money placed there is untouchable by creditors.

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While money in a bank can be confiscated, money in life insurance is non-reportable and protected from lawsuits and creditors.

CHOOSING A POLICY

When calculating the amount of insurance to purchase, the rule of thumb is to buy 20 times the amount of your income. You want a policy that will give a high rate of return with an increasing death benefit. If you buy a million dollar policy today, it will only be worth a fraction of that value in twenty years. An increasing death benefit takes inflation into account and grows in value each year.

USING A BROKER

While property and casualty insurance is generally straightforward, a good broker can be invaluable in guiding you through the endless fine print and different options in life and disability in-

surance. It is crucial to choose someone that you know and trust and who is well recommended. A good broker will help you find the plan that works best for your personal situation, and if it’s someone you trust, he will be there for you when you need them.

Disability Insurance



Disability insurance is a guarantee that even if someone becomes disabled, there will be sufficient income in place for the rest of his life. When choosing a plan, it is important to read the fine print of the policy. There are some plans that will only pay if the person is completely incapacitated and unable to work in any capacity. Some go into effect only if one becomes physically disabled.

The best insurance to purchase is one that will pay if you are unable to hold

covered, but that there is a good selection of surgeons and specialists. You are paying a yearly sum of 10 to 30 thousand dollars as a protection in case of emergency- not for a doctor you can turn to with a sore throat or broken ankle.

POS/PPO’S:

This plan allows you to go out of network when seeking a doctor. Although you are allowed to go out of network, bear in mind that if you do use a doctor out of network, you will also be responsible for a deductible that can run in the thousands.

The crucial question to ask a doctor is: *Are you an in-network provider for x insurance?* If the question is not phrased that way, the doctor may reply that he accepts the insurance — but since it’s out of your network, you will be left to pay the balance of the bill.

Property and Casualty Insurance

When buying home owner’s or renter’s insurance, it is important to make sure that it covers theft, fire, floods and replacement of loss. Many people who purchase home insurance experience a rude awakening when they try to get reimbursed. They do not realize that in case of any damage, they will need to prove that they owned the property they are claiming as lost. To ensure full coverage, it is vitally important to take a picture of every single item that you own and keep one set of pictures with you and one with your agent. In the event of fire or theft, you will have ample proof in your hand.

Many times, it is worthwhile to purchase umbrella insurance. This insurance covers home, auto and liability but provides you with a coverage that is worth far more than the value of your assets.

In closing, don’t leave for tomorrow what you can do today, because if tomorrow never comes, at least you won’t have to regret today.

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